

# High-Dimensional Fixed Effects Results

Table 1: High-Dimensional Fixed Effects Results

| Dependent Variables:<br>Model: | Euros<br>(1)<br>Poisson | log(Euros)<br>(2)<br>OLS | Euros<br>(3)<br>Neg. Bin. |
|--------------------------------|-------------------------|--------------------------|---------------------------|
| <i>Variables</i>               |                         |                          |                           |
| log(dist_km)                   | -1.528***<br>(0.1307)   | -2.170***<br>(0.1714)    | -1.711***<br>(0.1773)     |
| <i>Fixed-effects</i>           |                         |                          |                           |
| Origin                         | Yes                     | Yes                      | Yes                       |
| Destination                    | Yes                     | Yes                      | Yes                       |
| Product                        | Yes                     | Yes                      | Yes                       |
| Year                           | Yes                     | Yes                      | Yes                       |
| <i>Fit statistics</i>          |                         |                          |                           |
| Observations                   | 38,325                  | 38,325                   | 38,325                    |
| Squared Correlation            | 0.61202                 | 0.70558                  | 0.43760                   |
| Pseudo R <sup>2</sup>          | 0.76403                 | 0.23640                  | 0.03473                   |
| BIC                            | $1.4 \times 10^{12}$    | 151,977.2                | 1,293,786.1               |
| Over-dispersion                |                         |                          | 0.54877                   |

*Clustered (Origin & Destination) standard-errors in parentheses*  
*Signif. Codes: \*\*\*: 0.01, \*\*: 0.05, \*: 0.1*